



| INTERVIEW |

'MY INTENT IS TO LEAVE MONEY ON THE TABLE'

AHEAD OF ITS PUBLIC OFFER, EBIXCASH CHAIRMAN ROBIN RAINA TALKS ABOUT THE **COMPANY'S GROWTH MODEL**, **FUTURE POTENTIAL** AND MORE

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THERE IS A little change in his attire: from ripped jeans and a designer jacket to a more sombre corporate dress. But the flamboyant Robin Raina, the Chairman of EbixCash Limited, hasn't changed a bit in terms of his grand ambition, confidence, and go-getter personality. Shuttling between investor meetings in Mumbai from morning to evening, and also navigating its traffic snarls, Raina took time out to explain the company's strategy to BT's Anand Adhikari. Edited excerpts:

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On the company's valuation

We are in the midst of our road shows. We are meeting financial institutions, PSUs, fund managers and other institutions. We are approaching investors in other cities and also overseas from Hong Kong, Singapore, London, San Francisco and New York. This is a big issue. Look, I think beauty lies in the eye of the beholder. I would hate to comment on it. Nowadays, the big focus everybody has is on profitability and organic growth. Most investors ask, 'How does EbixCash manage to be the only company to make money in

the fintech sector?' So, most people try to understand what the moat is. I cannot comment on valuation. My intent is to leave money on the table. The success of the issue would depend not on how many times it gets oversubscribed but on whether a shareholder on the street makes money post-issue. If they don't make a decent amount of money and the issue is oversubscribed, I'll consider the IPO a failure... We will price it in a sensible manner.

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On the pitch for investors

EbixCash was launched some 23 years ago... [and] has been profitable since inception. The CAGR was 53 per cent from FY21 to FY23 based on the numbers in our DRHP. Most of the acquisitions were done between 2017 and 2019. Everything is organic after that. Second, our cash flow is ₹810 crore. We were profitable even during Covid-19, when travel and forex businesses were impacted. There is a lack of customer concentration in our businesses. There is also a diversity of customer base across product lines. Our cost base is in India, and the revenues are overseas, which places us on a better footing in terms of margins.

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On utilisation of IPO funds

We don't have any debt in India. We took a loan from our parent to acquire companies in India. We will repay \$350 million to our parent. The balance of \$380 million will be used for organic and inorganic growth, including for working capital. There is a working capital requirement of around \$146 million (₹1,200 crore).

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On the company's governance structure

We have seven independent directors out of 10 board members. We have chartered accountant S. Ravi, who is also on the board of TCIL and Aditya Birla Health Insurance, among others. We have S.P. Kothari, who had earlier served as Chief Economist at the US Securities and Exchange Commission. We have career banker Sunil Srivastava, who was part of State Bank of India. We have Uma Shankar, who recently retired as RBI's executive director. We have two auditors: Walker Chandio & Co. and K.G. Somani & Co LLP. **BT**

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